

ECONOMICS PAPER 1

(Mock Test 41)

Time allowed: 55 minutes

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 40 questions in this paper. Choose the **BEST** answer for each question.

1. Which of the following statements about interest is **CORRECT**?
 - A. Interest only exists in a monetary economy.
 - B. Interest only exists in a market economy.
 - C. When the interest rate decreases, people will reduce current consumption.
 - D. Without scarcity, interest will not exist.

2. Miss Hui purchased a newly built private residential unit for \$5,000,000 two years ago and has been living in it. Recently, Miss Hui plans to move abroad and is considering either renting out the unit for a monthly rent of \$15,000 or selling it for \$5,200,000 and depositing the amount into a time deposit account.

Which of the following will increase Miss Hui's opportunity cost of renting out the residential unit?

- (1) a decrease in the commission required for renting out the unit
 - (2) an increase in the interest rate on the time deposit
 - (3) a decrease in the maximum amount that a buyer is willing to pay for the unit
 - A. (1) only
 - B. (2) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

3. Which of the following are related to the question of 'how to produce'?
 - (1) A minibus company hired more foreign workers as minibus drivers.
 - (2) A manufacturer relocated its factory to reduce production costs.
 - (3) A toy manufacturer lowered the price of its products.
 - A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

4. A public limited company decides to issue bonds to raise capital for the expansion of its business. From the viewpoint of the existing shareholders, which of the following is an advantage of issuing bonds over shares?
 - A. The interest paid to the bondholders is lower than the dividends paid to the shareholders.
 - B. The company does not need to disclose its accounting information to the public.
 - C. The risk of the company being taken over by others will not be increased.
 - D. The company can raise more capital.

5. Baidu Baike (百度百科) is an online encyclopedia. The knowledge on Baidu Baike is _____.
 - A. a private good because Baidu Baike is run by a private enterprise
 - B. a free good because people do not have to pay to obtain the knowledge
 - C. a capital in Economics because people are willing to pay for the knowledge
 - D. a public good because a person's consumption does not reduce the amount available to others

6. The following table shows the production information of a firm. The firm employs two inputs only, namely machines and labour.

Machines (units)	Labour (units)	Average product (units)	Total production cost (\$)
2	3	20	150
2	4	22	200
2	5	25	250
2	6	24	300
2	7	23	350

Which of the following statements about the above firm is **CORRECT**?

- A. The firm enjoys economies of scale.
 - B. The law of diminishing marginal returns applies to the firm.
 - C. The total product is at the highest when the quantity of labour is 6 units.
 - D. The firm is at its optimal scale of production when the quantity of labour is 5 units.
7. After opening more branches, a restaurant finds that its average production cost has increased. Which of the following can be a possible reason?
- (1) The restaurant is suffering from external diseconomies of scale due to increased labour costs.
 - (2) The restaurant is enjoying internal economies of scale due to decreased borrowing costs.
 - (3) The restaurant is suffering from internal diseconomies of scale due to increased marketing expenses.
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1) and (3) only
8. A singer sold some clothes he had previously worn, and they were all sold out within a short period of time. Many people expressed that they were unable to buy them even though they were willing to pay the listed price.
- From the information above, we can infer that at the prevailing price, the quantity transacted of the clothes is _____.
- A. equal to the quantity demanded and smaller than the quantity supplied
 - B. equal to the quantity demanded and greater than the quantity supplied
 - C. equal to the quantity supplied and smaller than the quantity demanded
 - D. equal to the quantity supplied and greater than the quantity demanded
9. In which of the following situations will a decrease in the price of good X lead to a decrease in the quantity transacted of good Y?
- (1) Good X and good Y are in joint demand.
 - (2) Good X and good Y are in competitive supply.
 - (3) Good X and good Y are in competitive demand.
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (2) and (3) only

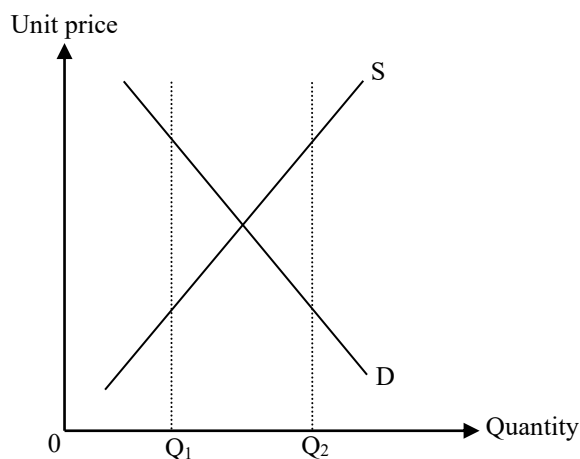
10. Good X and good Y are in joint supply. If consumers expect the price of good X to increase in the future,
- (1) the marginal benefit of the last unit of good Y will increase.
 - (2) total revenue of good Y will increase.
 - (3) consumer surplus in the market for good Y will increase.
 - (4) the quantity transacted of good Y will increase.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only
11. Suppose the government implements effective rent control by setting a cap on the rent per square foot that landlords can charge tenants. Which of the following statements is **CORRECT**?
- A. The landlords will be more willing to spend money on repairing the rental units.
 - B. The rental that the landlords can earn from renting out their units may increase, decrease or remain unchanged.
 - C. There will be non-price competition.
 - D. The number of vacant rental units available will increase.
12. Refer to the following demand and supply schedules of good X.

Unit price (\$)	12	11	10	9	8
Quantity demanded (units)	20	40	60	80	100
Quantity supplied (units)	100	80	60	40	20

If the government raises the price floor of good X from \$9 to \$12,

- A. there will be a shortage in the market for good X.
- B. the quantity transacted of good X will decrease by 40 units.
- C. producers' total revenue will increase.
- D. the equilibrium price of the substitutes of good X will decrease.

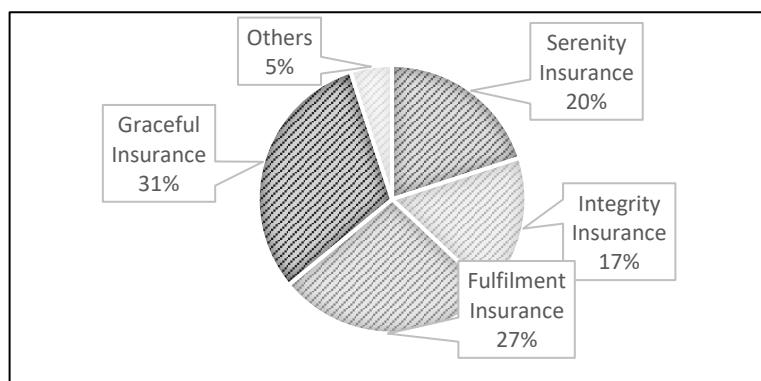
13. Refer to the following supply-demand diagram of good X.



Suppose the government adjusts the quota of good X from Q_1 to Q_2 . Which of the following statements is **CORRECT**?

- A. The consumer surplus will decrease.
 - B. Deadweight loss will be eliminated.
 - C. The total expenditure on good X will decrease.
 - D. The quota will change from ineffective to effective.
14. Which of the following combinations may result in the consumers' share of the subsidy being smaller than the producers' share of the subsidy when a per-unit subsidy is provided for a good?
- (1) elastic demand; unitarily elastic supply
 - (2) elastic demand; perfectly inelastic supply
 - (3) inelastic demand; inelastic supply
 - (4) inelastic demand; perfectly elastic supply
- A. (1) and (2) only
 - B. (3) and (4) only
 - C. (1), (2) and (3) only
 - D. (1), (2) and (4) only

15. The diagram below shows the market share of Country A's medical insurance market in 2024.



Based on the above information, we can conclude that the market structure of the medical insurance market in Country A was _____ because _____.

- A. monopolistic competition ... insurance companies in the market had similar market shares
 - B. monopolistic competition ... there were many consumers of medical insurance in the market
 - C. oligopoly ... there was price and non-price competition among the insurance companies
 - D. oligopoly ... the market was dominated by a few insurance companies
16. The following table shows the marginal benefit schedule of a consumer for coconut water.

Quantity (units)	1	2	3	4	5
Marginal benefit (\$)	25	24	23	22	21

If the price of coconut water increases from \$22 to \$23, consumer surplus will _____.

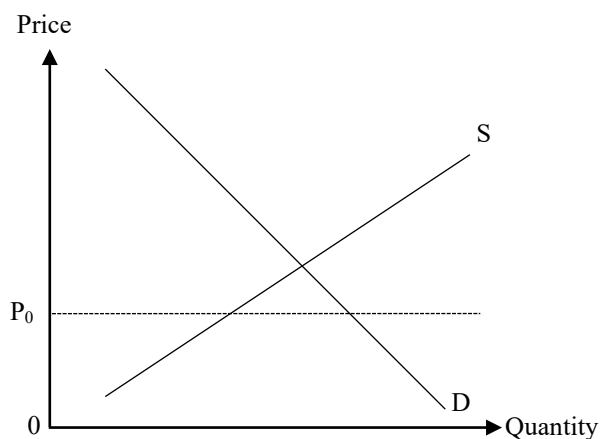
- A. increase by \$1
 - B. increase by \$3
 - C. decrease by \$1
 - D. decrease by \$3
17. Refer to the following demand and supply schedules of good X.

Unit price (\$)	9	10	11	12	13	14
Quantity demanded (units)	14	12	10	8	6	4
Quantity supplied (units)	8	12	16	20	24	28

Suppose the government imposes a per-unit tax of \$3 on good X. Which of the following statements is **CORRECT**?

- A. The ratio of consumers' tax burden to producers' tax burden is 1:2.
- B. If the government raises the per-unit tax to \$5, total social surplus will increase.
- C. The imposition of a quota of 8 units instead of the per-unit tax would have an equivalent effect on the price.
- D. The demand for good X is inelastic within the price range of the original and new equilibrium.

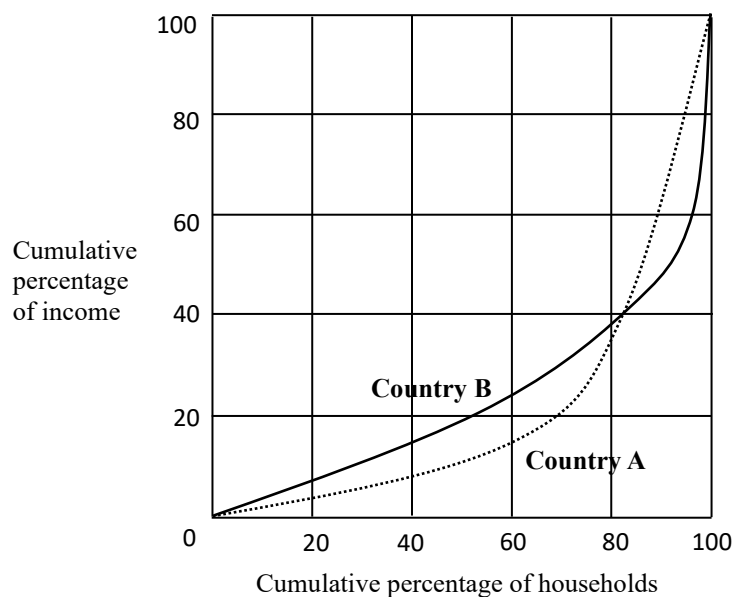
18. Refer to the following supply-demand diagram for rice. P_0 is the price ceiling set by the government.



Suppose rice is a normal good and the economy is experiencing an economic recovery. Which of the following statements are **CORRECT**?

- (1) The excess demand for rice will increase.
 - (2) Deadweight loss will increase.
 - (3) The marginal cost of the last unit of rice will decrease.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

19. The following diagram shows the Lorenz curves of Country A and Country B.



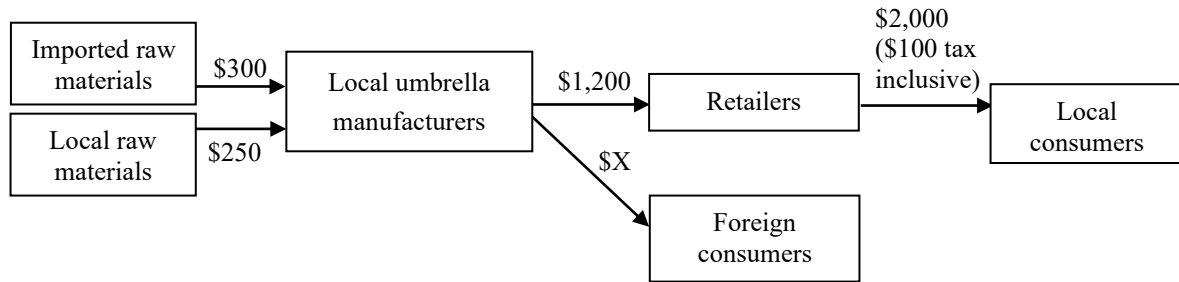
Suppose the total incomes in the two counties are equal. Based on the above information, which of the following statements are **CORRECT**?

- (1) The total income of the bottom 20% of households in Country A is lower than the total income of the bottom 20% of households in Country B.
 - (2) The top 10% of households in Country A earn a smaller proportion of the country's total income than that in Country B.
 - (3) Country A has more high-income people.
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)

20. The government of a country plans to increase the number of subsidised university degree programs and to waive tuition fees for students from families with an annual income below a certain amount. Which of the following statements are **CORRECT**?

- (1) The plan will help improve equity.
 - (2) The plan will reduce the labour supply of the country.
 - (3) The plan will cause the aggregate output to decrease in the short run.
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)

21. The following diagram shows the production chain for umbrellas in an economy.



The contribution of the above production chain to the economy's GDP at factor cost is \$3,000. The value of X is _____.

- A. \$1,150
 B. \$1,200
 C. \$1,400
 D. \$1,700
22. The following table shows the Gross Domestic Product (GDP) data of an economy in a certain year.

Components	\$ million
Private consumption expenditure	500
Net domestic fixed capital formation	300
Government consumption expenditure	350
Changes in inventories	20
Net export of goods	600
Re-exports	80
Imports of services	300
Exports of services	350
Capital consumption allowance	25
Direct taxes	20
Indirect taxes	5

The GDP at market prices is \$ _____ million.

- A. 1,820
 B. 1,805
 C. 1,845
 D. 1,925
23. Mr. Cheung received the Old Age Living Allowance in June 2025. He used part of it to dine at a fast food shop in Hong Kong. He also gave part of it to his grandson as pocket money.

Which of the following are **NOT** included in the calculation of Hong Kong's GDP in 2025?

- (1) the amount of Old Age Living Allowance received by Mr. Cheung from the government
 - (2) the amount Mr. Cheung spent at the fast food shop using the Old Age Living Allowance
 - (3) the pocket money Mr. Cheung gave to his grandson from the Old Age Living Allowance
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)

24. Which of the following is the factor income earned by residents outside the economic territory of Hong Kong?
- A. interest received by a Hong Kong resident from investing in overseas bonds
 - B. rental income received by a Chinese accountant from renting out a property under his name in Hong Kong
 - C. salary earned by a Hong Kong resident working for the Hong Kong branch of a foreign company
 - D. salary earned by an American teacher working in a school in Hong Kong for two years

25. The following table shows the data of an economy in a certain year.

Indirect taxes	\$20 million
Direct taxes	\$10 million
Subsidies	\$15 million
Net factor income from abroad	–\$50 million
Net exports	–\$50 million
GDP deflator	98

Which of the following statements about the economy is **CORRECT**?

- A. Nominal GDP is greater than real GDP.
 - B. Gross national income is smaller than gross domestic product.
 - C. GDP at factor cost is greater than GDP at market prices.
 - D. Total exports are greater than total imports.
26. Country A's implicit price deflator of GDP rose by 8% in 2024, while its nominal GDP rose by 6% and its population fell by 1% during the same period.

Based on the above information, we can conclude that Country A's per capita nominal GDP in 2024 has _____, while its per capita real GDP has _____.

- A. increased ... increased
 - B. increased ... decreased
 - C. decreased ... increased
 - D. decreased ... decreased
27. Which of the following can explain why a short run aggregate supply curve is upward sloping?
- A. Everyone adjusts their behaviour according to economic conditions.
 - B. Technology level will improve.
 - C. Input and output prices are not fully adjusted.
 - D. The productive capacity of an economy changes in the short run.

28.

The HKSAR Government announced the arrangements for the admission of professionals of specified skilled trades to Hong Kong. Eight specified skilled trades, including nurses, aircraft maintenance technicians and marine services technicians, are covered, to address the problem of acute manpower shortage in these skilled trades.

Based on the above information, which of the following statements are **CORRECT**?

- (1) Hong Kong's GDP will increase.
 - (2) Hong Kong's long run aggregate supply will increase.
 - (3) Hong Kong's aggregate demand will increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

29. Which of the following will cause the aggregate demand curve of an economy to shift to the right?

- A. The government provides cash subsidies to applicants waiting for public housing.
- B. The government cuts production subsidies to firms.
- C. A major trading partner experiences economic recession.
- D. The implicit deflator of GDP has increased for several consecutive years.

30. The government of an economy has the following policy proposals:

- I. to introduce more capital to support production
- II. to tighten the visa requirements for foreign visitors
- III. to raise the salaries tax rate
- IV. to provide transportation subsidies to housewives who re-enter the workplace

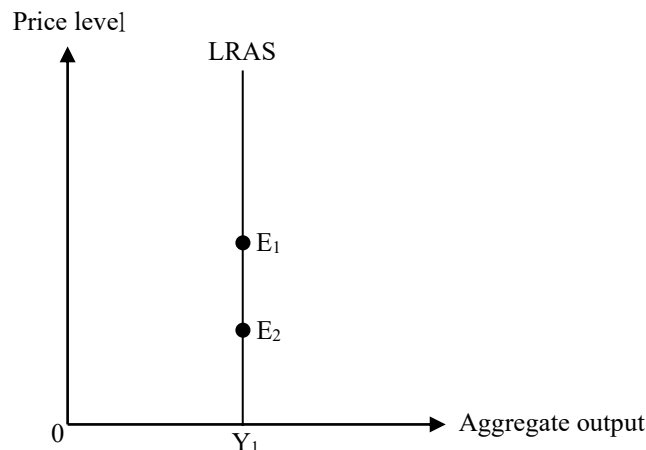
Which of the following combinations is most likely to increase the economy's aggregate output in the short run?

- A. policies I and II
- B. policies I and IV
- C. policies II and III
- D. policies III and IV

31. There is an inflationary (output) gap in economy A. Which of the following will narrow the inflationary (output) gap?

- (1) an increase in the labour costs
 - (2) an increase in the progressivity of salaries tax
 - (3) an increase in production subsidies
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

32. Refer to the following long run aggregate supply curve of Country A.



Country A's long run equilibrium point changes from E_1 to E_2 . Which of the following is a possible reason for this change?

- A. More firms use artificial intelligence to replace labour.
 - B. Firms become more optimistic about their business prospects.
 - C. Firms expect the general price level to decrease.
 - D. People prefer to consume imported goods instead of locally produced goods.
33. Which of the following would increase the aggregate output of an economy and enhance equity at the same time?
- (1) to increase the living allowance provided to grassroots children
 - (2) to allocate more resources to improve the quality of education in public schools
 - (3) to abolish the general sales tax
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
34. Gold is better than salt at performing the _____ function of money because the former is more _____.
- A. store of value ... scarce
 - B. medium of exchange ... divisible
 - C. unit of account ... portable
 - D. standard of deferred payment ... homogeneous
35. Which of the following descriptions about how the functions of a central bank are carried out in Hong Kong is **INCORRECT**?
- A. The Hong Kong Monetary Authority is the lender of last resort for Hong Kong's financial institutions.
 - B. The Hong Kong Monetary Authority carries out monetary policies in Hong Kong.
 - C. The Hongkong and Shanghai Banking Corporation Limited acts as the government's banker.
 - D. The Hongkong and Shanghai Banking Corporation Limited acts as the clearing house.

36. Mr. Wong plans to deposit HK\$500,000 to an authorised institution in Hong Kong as a time deposit for one month. Which of the following authorised institutions can accept his deposit?

- (1) licensed banks
- (2) restricted licence banks
- (3) deposit-taking companies

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

37. Mr. Tai withdrew HK\$100,000 cash from a demand deposit with a licensed bank. He then deposited HK\$50,000 of the amount into a time deposit with the same bank and remitted the remainder overseas.

What will be the immediate effect of the above actions on the money supply of Hong Kong?

- A. Money supply M1 will decrease by HK\$100,000.
- B. Both money supply M1 and money supply M2 will decrease by HK\$50,000.
- C. Money supply M3 will remain unchanged.
- D. Money supply M1, money supply M2 and money supply M3 will decrease by HK\$50,000.

38. Which of the following may lead to an increase in the money supply?

- (1) The public deposits all their cash into commercial banks.
- (2) Commercial banks hold fewer excess reserves.
- (3) The government raises the required reserve ratio.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

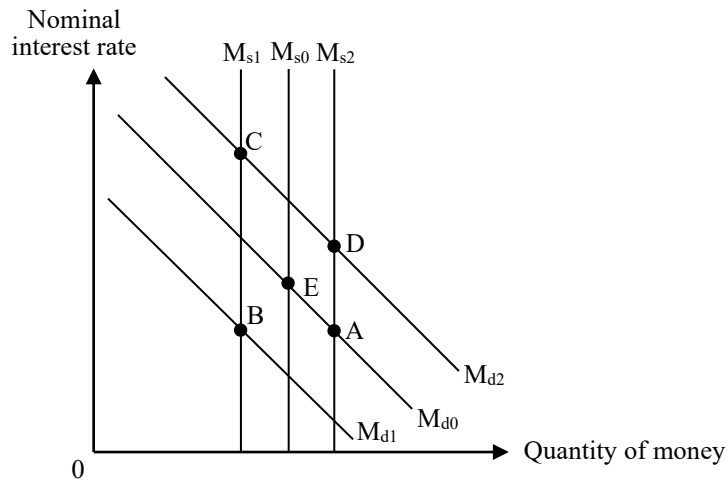
39. Study the following information about an economy.

Monetary base	\$1,400 million
Money supply	\$5,000 million
Cash in public circulation	\$200 million

Suppose the banks do not hold excess reserves. If the public deposit \$100 million in cash into the banking system,

- A. the maximum possible amount of money supply will be \$5,400 million.
- B. the maximum possible amount of loans will be \$3,900 million.
- C. the maximum possible amount of deposits will be \$4,900 million.
- D. the monetary base of the economy will decrease by \$100 million.

40. The diagram below shows the money demand and money supply curves of an economy. The original equilibrium point is at E.



Suppose the central bank prints more money and at the same time people expect the price of bonds to fall. The new equilibrium point will be at _____.

- A. A
- B. B
- C. C
- D. D

END OF PAPER